TYPICAL STAGES IN LIFE

By 25: Start earning
By 28-30: Marriage
By 30: Start accumulating assets (car, house etc.)
30-50: Children's education (school/ university)
40-50: Servicing debts and earnings peak
50-60: Children's weddings
Approaching 60: Pre-retirement
After 60: Retired life or a phase of second innings

Start life with 100% dependence on job



Start retirement with 100% dependence on retirement investments

your convenience and as much as you wish. Investing in mutual funds comes with several flexibilities too—you can choose the investment time-frame to match the financial goal for which you are investing and also the investment risk that you can afford to take.

There are dedicated retirement savings instruments such as the NPS (National Pension System), the EPF (Employee Provident Fund) or the PPF (Public Provident Fund) in which you could invest to save for your retirement. Then there are mutual funds as well as specific insurance policies that are dedicated towards long-term savings and investments. These have the potential to grow in value and build sizeable wealth and a retirement corpus. Having created the corpus, you need to have a plan to draw from these savings an income stream that can be used in your financial freedom phase.

You can create a combination of fixed and variable income streams. The fixed income could take care of your fixed expenses that go towards day-to-day household expenses, while the variable income could come in handy to address unexpected expenses such as for travel or a wedding. Instruments such as annuity are a good way to create a fixed income stream; however, a fixed annuity is treated as income and taxed accordingly. But when you withdraw or redeem investments from a mutual fund scheme, you could do so in a tax-efficient manner so that it does not impact your wealth.

As much as you would like to gain from wealth creation, taxes are a reality. Depending on the income bracket you fall under, you will pay income tax on your income in your earning years. However, when you use the saved sum in retirement as an income stream, you have the option to do so in a tax-efficient manner. There are also tax savings avenues when you are earning income in the wealth creation phase that could benefit from tax savings. When planning your financial independence journey, do so taking into account taxation and how it would impact your savings as well as the actual income that you draw from them.

Considering that most of us hardly have any expertise in managing all these financial aspects on our own, it may be worthwhile to engage the services of an expert. A financial planner who could assimilate all these complex aspects and help you build a plan and help you realise your financial independence is worth hiring. You will not only have expert inputs, you will also be able to focus on your core strengths—earning—while enjoying the other aspects of life without constantly worrying over how you will manage it all. A financial planner will assess your risk-taking ability, and help you form realistic financial goals and work on achieving them for you.

DELAYING GRATIFICATION IS THE ACTION TO RESIST THE TEMPTATION OF IMMEDIATE PLEASURES AND WAIT FOR BIGGER REWARDS IN THE FUTURE

A planner will also factor risk management tools such as contingency funds, life insurance and health insurance to reduce any financial impact due to risks arising out of job loss, death or a health scare. Moreover, they will also help you draw up a will to ensure your assets have clear titles and they are passed on to people or in a manner as you wish them to be transferred after your lifetime.

If you want to live like most people can't, you have to be willing to do what most people won't. Achieving financial independence means you can do whatever you want in life without having to worry about money. It is the privilege of being free to enjoy the balanced lifestyle of our dreams, without 'working for a living' getting in the way too much. It is also not about quitting work altogether, you just have to feel secure enough to be choosy about your work, and your schedule.

There will be times along the way when you want to give up because you too want to do all of the things everyone else gets to do. When you feel that way, just imagine what life will be like once you've become financially independent. You can do what you want to do when you want to do it. If you can stay the course and achieve early financial independence, you will find it is all worth it. ■